MINISTRY OF EDUCATION, SINGAPORE
in collaboration with
UNIVERSITY OF CAMBRIDGE LOCAL EXAMINATIONS SYNDICATE
General Certificate of Education Advanced Level
Higher 2

ECONOMICS

9757/01

Paper 1

October/November 2018

2 hours 15 minutes

Additional Materials: Answer Paper

READ THESE INSTRUCTIONS FIRST

Write your Centre number, index number and name on all the work you hand in.
Write in dark blue or black pen.
You may use an HB pencil for any diagrams, graphs or rough working.
Do not use staples, paper clips, glue or correction fluid.
DO **NOT** WRITE IN ANY BARCODES.

Answer **all** questions.

At the end of the examination, fasten all your work securely together.
The number of marks is given in brackets [ ] at the end of each question or part question.

Fiscal policies focused on price are designed to influence consumers to make healthier choices when buying drinks, for example, by making sodas more expensive than bottled water. Some believe that such taxes are needed because consumer choice is not as free as consumers may think. Marketing and advertising products are very powerful influences on consumer demand. Individual choice is very much dependent on marketing. Producers put millions of dollars into food marketing to strengthen brands and differentiate their products.

Source: *World Health Organisation Bulletin*, April 2016

Extract 3: Sugar tax – UK businesses claim levy will result in job losses and higher prices

A group of UK businesses, from convenience stores to vending machine operators and pubs, have joined forces to call for a rethink of the government's proposed sugar tax on the SSB industry. A sugar tax was proposed as part of the 2016 Budget with the goal to raise an estimated £520 million a year. The money raised is to be spent on funding sports in primary schools. The coalition of UK businesses, which between them employ more than 400,000 people across the UK, has launched a "Face the Fact, Can the Tax" campaign, arguing the tax will not reduce obesity and would result in job losses and higher prices.

Businesses taking part in the campaign all agreed that obesity levels are too high, but argued that the sugar tax was not the answer. "We know from the evidence around the world where they've tried a tax that it will not make a difference to obesity. What it will do, as this report shows, is damage thousands of businesses across the entire SSB supply chain, from farmers, to manufacturers, to convenience stores and the pub and restaurant trade," the director-general of the United Kingdom (UK) Soft Drinks Association which partially funds the campaign, said. "At a time of economic uncertainty, the Government needs to be supporting these businesses and working with industry to support actions that are already making a difference, such as reformulating drinks to include a lower sugar content and advertising the many no-sugar options now available," he added.

The launch of the campaign comes as a new report from Oxford Economics has highlighted the worrying economic damage the proposed soft drinks tax will have on British industry. The report predicts a loss of more than 4,000 jobs across the UK and a decline of £132 million in output.

Companies will be given two years to reformulate their products with reduced sugar levels, after which drinks with over 5 g of sugar per 100 ml and over 8 g per 100 ml will be hit with greater taxes in the two bands.

In February 2016, Cancer Research UK and the UK Health Forum calculated that a 20% tax on SSBs could reduce the obesity rate in the UK by 5% by 2025. This is equal to 3.7 million fewer obese people. The co-ordinator of the Children's Food Campaign called the sugar tax an "important victory" for children's health that will encourage people to choose healthier drinks, and send a wider message about cutting down on sugar for consumers and businesses.

Source: The Independent, 16 August 2016

Question 2: Bangladesh's quest for inclusive economic growth

Table 1: Bangladesh, selected economic indicators (2000–2014)

	2000	2005	2010	2014
population (millions)	131.3	142.9	151.6	159.1
real GDP (US $billion)	44.2	57.6	77.3	98.6
inflation rate (% change in Consumer Price Index (CPI) per annum)	2.2	7.0	8.1	7.0
fiscal balance (government budget balance) (US $million)	–2058	–2144	–3214	–5342
current account balance (US $million)	–418	–557	3724	1547
nominal exchange rate[1] (Taka per US dollar) (The Taka (Tk) is the currency of Bangladesh)	52.14	64.33	69.65	77.64
Gini coefficient	0.334	0.332	0.321	0.320

[1] The nominal exchange rate is the number of units of one currency that can be exchanged for one unit of the other currency.

Source: Asian Development Bank, 2016

Table 2: Income elasticity of demand for electricity in selected countries

These elasticity values have been calculated by comparing Gross National Income (GNI) per person with electricity consumption per person over the period 1991 to 2010.

Country	Income Elasticity of Demand
Australia	0.60
Japan	0.74
Bangladesh	1.91

Source: Asian Development Bank, 2016

Transport connectivity is a key contributor to economic and social development. Improved roads and infrastructure can create opportunities for growth and poverty reduction. On the other hand, lack of access to roads prevents communities from accessing education and health services as well as hindering the transport of products.

For many years until 2010, Bangladesh had not invested in power generation, leading to a huge power shortage and power blackouts across all sectors of the economy. The demand for electricity had been rising rapidly along with growth in per capita income, increasing industrialisation, and the expansion of users in agriculture and commerce. Because electricity is an important input to production in manufacturing, agriculture, construction, and various services, inadequate supply and frequent power cuts had emerged and remained a binding constraint on productivity and the expansion of business.

As with other basic services, income is a significant determinant of access to electricity. The urban population is more than twice as likely to have access to electricity than the rural population, where most of the poor reside. Nationwide access to electricity was 32.6% in 2000, and had increased to 56.4% by 2010. That is still way below the 86% average for other countries in South Asia. The electricity connection fee for a household is Tk34000 (US$430), which covers the cost of a meter, installation, and a security deposit. This is equivalent to about 5 or 6 months of the average household income of a poor person in Dhaka. Due to their low and irregular incomes, the urban poor are unable to afford either the installation costs or to pay for their electricity consumption in a continuous or consistent manner.

Source: Asian Development Bank, *Bangladesh Diagnostic Study*, 2016

Questions

(a) With reference to Table 1:

(i) State what happened to the nominal exchange rate of the Taka (Bangladesh's currency) between 2000 and 2014. [1]

(ii) Explain whether you would expect the change in the current account balance to lead to the change in the value of the Taka shown. [2]

(iii) What can be inferred from the change in the Gini coefficient for Bangladesh? [2]

(b) Explain why a new road network in a country should **not** be classified as a public good. [3]

(c) Explain **one** possible reason for the difference in values of income elasticity of demand for electricity in Bangladesh and Australia. [4]

(d) Both Bangladesh and Singapore invest in infrastructure projects.

Discuss how such spending may have different impacts on aggregate demand in these two countries. [8]

(e) Discuss whether supply-side policies are the most appropriate policies to achieve inclusive economic growth in Bangladesh. [10]

[Total: 30]

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ECONOMICS

9757/02

Paper 2 Essays

October/November 2018

2 hours 15 minutes

Additional Materials: Answer Paper

READ THESE INSTRUCTIONS FIRST

Write your Centre number, index number and name on all the work you hand in.
Write in dark blue or black pen.
You may use an HB pencil for any diagrams, graphs or rough working.
Do not use staples, paper clips, glue or correction fluid.
DO **NOT** WRITE IN ANY BARCODES.

Answer **three** questions in total, of which **one** must be from Section A, **one** from Section B and **one** from **either** Section A or Section B.

At the end of the examination, fasten all your work securely together.
The number of marks is given in brackets [ ] at the end of each question or part question.

Section B

One or two of your three chosen questions must be from this section.

4 In April 2016, Singapore's Finance Minister Mr. Heng Swee Keat, announced that in the fiscal year 2016, total government expenditure is expected to be S$5.0 billion (7.3%) higher than the previous year.

Source: *Singapore Budget 2016*, accessed 3 August 2016

Assess whether an increase in government expenditure, such as that announced in the 2016 budget, is likely to have a significant impact on Singapore's economic performance. [25]

5 It was suggested by economists early in 2017 that world interest rates were likely to rise in the future.

(a) Explain why Singapore chooses exchange rates rather than interest rates as its main tool of monetary policy. [10]

(b) Discuss whether a rise in world interest rates would be of overall benefit to Singapore's economy. [15]

6 "Across the globe, people are wondering why the US, usually the leader in free trade, is now taking a protectionist stance."

Source: *Foreign Policy Journal*, February 2017

(a) Describe **two** different types of protectionist policy measure and explain how each type would affect trade. [10]

(b) Discuss the extent to which protectionism would be beneficial to an economy. [15]

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Question 2 © *Fuel Price Analysis*; IATA; http://www.iata.org/publications/economics/fuel-monitor/Pages/index.aspx 3 August 2016.
Question 4 © *Singapore Budget 2016*; Ministry of Finance Singapore; http://www.singaporebudget.gov.sg/budget_2016/ 3 August 2016.
Question 6 © Antonio Graceffo; Foreign Policy Journal; 1 February 2017.

Answer **three** questions in total.

Section A

One or two of your three chosen questions must be from this section.

1 The average price of tickets for two concerts performed by singer-songwriter Ed Sheeran in November 2017 at the Singapore Indoor Stadium was S$180. Tickets went on sale six months earlier and both concerts sold out almost immediately. Some tickets were later being offered for resale at prices well above their face value.

(a) Using supply and demand curves, explain why there is an excess demand for tickets and why there is a high resale price. [10]

(b) Discuss possible strategies that concert organisers could use to improve the market outcome for this type of concert for producers and consumers. [15]

2 Competition amongst airlines within the air passenger market is high and demand is rising but many airports are at or near capacity. Both variable and fixed costs of production of passenger airlines continue to change over time. For example, airline jet fuel prices fell by 20.4% over the year ended 22 July 2016 while the price of passenger jet aircraft increased by around 1.1% between 2015 and 2016.

Source: *International Air Transport Association*, accessed 3 August 2016

Using economic analysis, discuss how airlines would likely respond to these changes. [25]

3 The planned Cross Island MRT line is expected to cut through part of the Central Catchment Nature Reserve (CCNR). Conservationists have suggested an alternative route which would preserve the CCNR and be available for a much larger number of residents. However, the alternative route would lead to longer journey times, an increase in costs and private land purchases as well as a possibly more difficult engineering task.

(The original source for this question cannot be published due to copyright restrictions.)

(a) Explain what needs to be considered when a government makes rational spending decisions about such projects. [10]

(b) Discuss whether the government should proceed with the proposed alternative route for the Cross Island MRT. [15]

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Question 1 Extract 1	© *World Health Organisation Fiscal Policies for Diet*; World Health Organisation; 6 May 2015.
Question 1 Extract 2	© *World Health Organisation Bulletin*; April 2016.
Question 1 Extract 3	© Zlata Rodionova; Independent online; www.independent.co.uk 16 August 2016.
Question 2 Table 1	© *Key Indicators for Asia & Pacific*; Asian Development Bank; www.adb.org 2016.
Question 2 Table 2	© *Key Indicators for Asia & Pacific*; Asian Development Bank; www.adb.org 2016.
Question 2 Extract 4	© Hasan Mazumdar; The Asia Foundation; asiafoundation.org 16 November 2016.
Question 2 Extract 5	© *Bangladesh Diagnostic Study*; Asian Development Bank; www.adb.org 12 December 2016.

Extract 4: The need for inclusive economic growth in Bangladesh

In 2016 Bangladesh continued with its economic growth, recording an impressive GDP growth rate of 7.1%. Bangladesh is currently the second largest exporter of ready-made clothing in the world after China. In addition, foreign remittances continue to flow into the country in record amounts of roughly US$14 billion per year from hard-working Bangladeshis residing in the Middle East and other parts of the world.

Signs of an economic boom are visible in and around the country's cities, but especially in the capital, Dhaka, where hundreds of luxury cars and expensive new apartments overlook poor neighbourhoods and slums. A record number of Bangladeshis are now going abroad for vacations and medical treatments, and sending their children to schools overseas for higher education. Many have acquired second and third homes in countries like Malaysia, Australia, Canada, the United Kingdom (UK), and the United States (US). In a country of 160 million people however, only about 1% makes up this privileged class. This small group almost exclusively enjoys the benefits of economic growth in Bangladesh. They are mostly business people who run family-owned businesses. These groups of companies control vast amounts of wealth and own most of the banks and other financial institutions in Bangladesh.

So what about the rest of the population? According to the latest estimates from the Asian Development Bank (ADB), around 50 million people in Bangladesh continue to live below the poverty line. This constitutes the highest proportion in South Asia. The earnings gap between workers and owners is higher than ever in Bangladesh's business sector. It is even worse for the female labour force, who account for an estimated 45% of the working population. To make matters worse, because women face greater challenges accessing finance and information, female entrepreneurs rarely get the opportunity to compete in the male-dominated arena of trade and commerce.

The stock market, which normally provides an avenue for ordinary people to invest and participate in the larger economy, has been a shambles since the Bangladesh stock market crash in 2011 that sparked violent protests because around 3 million small investors lost all of their money. The incident broke the confidence of potential investors, including the Bangladeshi workers abroad who continue to send their hard-earned money back home. The ongoing domination of economic opportunities by the elites and lack of investment opportunity for ordinary citizens has created an unmanageable gap between the "haves" and the "have-nots," or the super-rich and the rest.

What is needed is an inclusive growth strategy. Policies and structures need to be put in place, which give all people the opportunity to reap the benefits of economic growth. To do so, the government needs to provide a safe and supportive environment including infrastructure support (especially water, roads and energy), and create equal opportunities for all, specifically for the small- and medium-sized enterprises, to compete and participate in business opportunities.

Source: The Asia Foundation, 16 November 2016

Extract 5: Improving access to water, roads and energy

The government has to ensure equal access to productive assets and to infrastructure such as water, transport, and electricity, both across the country and across different socio-economic groups, since these assets create opportunities for growth and help lift people out of poverty.

In Bangladesh in 2015, only 87% of urban and rural households had access to adequate water sources. This was the lowest in South Asia.

Transport infrastructure is quite undeveloped. World Bank data indicate that only 39% of Bangladesh's rural population lives within 2 kilometres of an all-season road – a road that can be used throughout the year by the transport normally used in the area. Only 30% of the roads in Bangladesh are paved.

Questions

(a) **(i)** Using the information in Extract 1, calculate the value of the price elasticity of demand for sugar-sweetened beverages (SSBs). [2]

(ii) Explain **one** possible factor that could lead to this value. [2]

(b) **(i)** State the economic concept you would use to measure the relationship between the change in the price of SSBs as sales taxes are imposed and the resulting change in the demand for bottled water. [1]

(ii) Explain the value you would expect to get from this measurement. [3]

(c) Explain any **two** economic reasons why producers decide to spend millions to 'strengthen brands and differentiate their products' (Extract 2). [4]

(d) Discuss whether consumers could ever make rational decisions regarding their consumption of SSBs. [8]

(e) Discuss whether fiscal intervention is the best government policy to deal with the problems caused by over-consumption of SSBs. [10]

[Total: 30]

Answer **all** questions.

Question 1: Policies for health improvement

Extract 1: World Health Organisation (WHO) Report – fiscal policies for health improvement

Over the last few years there has been a continuous rise in the consumption of sugar-sweetened beverages (SSBs). This has resulted in increased obesity amongst populations and a consequent rise in diseases such as diabetes and heart disease. Now many countries are adopting policies to improve diet. Fiscal policies are key policy interventions to achieve this. They form part of the menu of policy options that are being considered by an increasing number of countries to promote healthy diets. There is increasingly clear evidence that taxes and subsidies can be used to influence purchasing behaviour, notably when applied to SSBs.

There are strong reasons for using fiscal tools. Fiscal interventions play a key role in correcting market failure; they can create incentives to help to reduce certain diseases such as diabetes and also generate revenue for the government. Estimates from recent economic research show that the prices of foods and beverages affect purchase and consumption significantly.

By incentivising consumers to purchase healthier foods (or dis-incentivising the purchase of less healthy foods), fiscal interventions aim to change consumption of these foods at the individual and household level. Fiscal policy interventions can also work through changing incentives for the production and manufacture of healthy foods relative to less healthy foods. As taxes increase, the purchase price of certain foods increases and consumers thus reduce their purchases. As a consequence, industry may produce less of the food in question. Similarly, a subsidy decreases the price for consumers and can lead to increased consumption, thus triggering increases in supply to meet the rising demand.

Taxes and subsidies can also incentivise the food industry to reformulate foods to improve the nutritional quality of their products. An additional benefit of fiscal policy interventions is revenue generation and the potential to specifically allocate these funds for health promoting purposes. As such, the use of fiscal policies should be considered a key component of a comprehensive strategy for the promotion of healthy diet and the prevention and control of certain diseases.

The main fiscal policy interventions that have been proposed are: taxes on SSBs and subsidies on fruits, vegetables and other healthy foods. This is helped by the fact that demand for SSBs is generally price elastic. In addition, research has shown that price elasticity of demand is higher among low-income consumers and in younger people. A study showed that imposing a tax that would increase the price of SSBs by 20%, would reduce overall consumption by 24%. Similarly strong evidence shows that subsidies for fresh fruits and vegetables, that reduce prices by 10–30%, are effective in increasing fruit and vegetable consumption.

Source: World Health Organisation, *Fiscal Policies for Diet*, 6 May 2015

Extract 2: Mexico – the decision to introduce a sugar tax

In Mexico bottled or canned SSBs are part of the culture. Cola drinks have been bottled and sold in the country since 1926. These drinks are a major source of energy for adults and children especially in the many communities that do not have safe tap water. More than two years after the Mexican government passed legislation levying an excise tax (charged on the manufacture of a specific good) on SSBs, there is increasing evidence to suggest that pricing policies can influence consumers' purchasing patterns and have an impact on dietary behaviour.

A study shows that sales of the taxed SSBs in Mexico fell by an average of 6% in 2014. In addition, purchases of water and non-taxed beverages increased by about 4% on average. The money raised by Mexico's tax on soda drinks is being re-invested in obesity prevention, for example, in providing drinking water fountains in schools with students from low-income families.